

Rajesh Kumar Sharma v Meridian Textiles Private Limited (2023)

Court: Supreme Court of India | Year: 2023

IN THE SUPREME COURT OF INDIA

CRIMINAL APPELLATE JURISDICTION - CRIMINAL APPEAL NO. 402 OF 2023

RAJESH KUMAR SHARMA ... APPELLANT

VERSUS

MERIDIAN TEXTILES PRIVATE LIMITED AND ANR. ... RESPONDENTS

JUDGMENT AND RATIO DECIDENDI:

- This criminal appeal arises out of proceedings under Section 138 of the Negotiable Instruments Act 1881 for dishonour of Cheque No. [REDACTED].
- Core legal issue: Whether a company director who signed the cheque on behalf of the company remains personally and vicariously liable for the dishonour of the cheque.
- Key facts: The Appellant supplied raw cotton worth Rs. 45 Lakhs to Respondent company. Cheque returned with bank memo "Funds Insufficient".
- HELD: Appeal allowed. Under Section 141 of Negotiable Instruments Act 1881, every person in charge of company affairs is v**